

Wal-Mart stopped workers from forming unions. There were reports of children performing dangerous work and the use of illegal immigrant labor.

In September 2005, the Council sent a letter to Wal-Mart asking the company to comment on the alleged human rights violations. Wal-Mart acknowledged the letter but did not otherwise respond.

From January until March 2006, the Ministry conducted its own assessment. The Ministry found that exercising the fund's ownership rights through an activist approach would not be effective in influencing Wal-Mart's business practices. Divestment decisions were always considered the last resort, but in Wal-Mart's case the Ministry decided it was appropriate.

When the Ministry announced on June 6, 2006 that it had sold all its holdings in Wal-Mart, it quoted the report from the Council of Ethics:

What makes this case special is the sum total of ethical norm violations, both in the company's own business operations and in the supplier chain. It appears to be a systematic and planned practice on the part of the company to hover at, or cross, the bounds of what are accepted norms for the work environment. Many of the violations are serious, most appear to be systematic, and altogether they form a picture of a company whose overall activity displays a lack of willingness to countervail violations of norms in its business operations.⁴

Excluding companies is not without cost: by shrinking its universe, Norway's investment opportunities were smaller, and it lost diversification benefits and lowered its best risk–return trade-off. As more companies were excluded, there were further losses in diversification benefits. In January 2010, Norway excluded all tobacco companies. What did these exclusions do to the fund's maximum attainable risk–return trade-off? How much did it cost Norway to be ethical?

In this chapter I cover mean-variance investing. This is by far the most common way to choose optimal portfolios. The main takeaway is that diversified portfolios should be selected because investors can reduce risk and increase returns. The underlying concept of diversification can be implemented in different ways, and many of the approaches popular at the time of writing, like risk parity and minimum variance portfolios, are special cases of unconstrained mean-variance portfolios. An advantage of mean-variance investing is that it allows diversification benefits (and losses) to be measured in a simple way. We will later use mean-variance investing concepts to estimate how much Norway is losing in choosing to be socially responsible—in other words, to answer the question, how much does it cost Norway to divest Wal-Mart?

⁴ Press release, Ministry of Finance, June 6, 2006.